

The Day I Realised Cascading Strategy Wasn't Really About Performance Measures

Several years before beginning my doctoral research, I was invited to support one of Bahrain's leading banks as it embarked on an ambitious strategy execution initiative. The executive team had developed a clear corporate strategy and now faced the challenge every large organisation eventually encounters: how do you cascade that strategy throughout the organisation so that every business unit, department and individual understands both their contribution and their accountability? Our role was to help translate strategic intent into operational reality by building the capability to cascade the strategy consistently across the bank and develop the performance measures needed to support execution.

At first glance, the engagement appeared highly technical. We developed strategy maps, facilitated executive workshops, designed KPI trees and helped leaders translate corporate objectives into departmental and individual performance measures. Yet as the conversations unfolded, it became increasingly clear that the real challenge had very little to do with performance measures. The executives were not struggling to define indicators or write objectives. They were struggling to interpret the strategy itself. Before they could decide what should be measured, they first needed to understand what the strategy meant for their part of the organisation, why it mattered and how they could influence its success.

At the time, I regarded these conversations simply as good consulting practice. Looking back through the lens of my later doctoral research, I now see something much more significant. We were not really cascading a strategy through organisational scorecards. We were cultivating a shared way

of thinking about the strategy before asking people to execute it. The scorecards, KPIs and action plans were simply the visible expression of a much deeper process of executive judgement. Before strategy could cascade through the organisation, it first had to cascade through the minds of its leaders.

The Real Challenge Was Never the Cascade

As the workshops progressed, I noticed an interesting pattern. The executive team had already agreed on the bank's strategic direction. The Board had approved the strategic priorities. The business strategy had been translated into major initiatives across retail banking, corporate banking, treasury, operations, risk and cost management. On paper, there appeared to be remarkable alignment. The question was no longer *what* the bank was trying to achieve, but *how* those ambitions would become part of everyday decision-making throughout the organisation.

Traditional approaches assume that this is primarily a communication challenge. If executives understand the strategy, they communicate it to their direct reports. Those managers communicate it to their teams, objectives are translated into departmental scorecards, performance measures are assigned and, eventually, the strategy cascades throughout the organisation. It is an elegant model, but one that rests on a significant assumption—that everyone interprets the strategy in broadly the same way.

Our experience suggested otherwise.

During the workshops, executives rarely struggled to understand the words contained within the strategic plan. They struggled to understand what those words required of them. Strategic themes such as business growth, customer loyalty, operational efficiency and risk management were easy to agree with in principle. The more difficult questions emerged when those aspirations had to be translated into the responsibilities of a particular division, a department or an individual leader. Executives wanted to know where they could genuinely influence outcomes, how their decisions contributed to corporate success and how the measures assigned to them connected to the broader ambitions of the bank. These were not questions about metrics. They were questions about meaning.

That observation fundamentally changed the way I thought about cascading strategy. Organisations often assume that strategy flows downward through organisational structures. My experience suggested something different. Strategy flows through understanding. Before objectives can cascade through reporting lines, they must first cascade through interpretation. Unless leaders develop a shared understanding of the strategic story they are being asked to enact, the cascade quickly becomes a mechanical exercise in allocating measures rather than a meaningful process of collective execution.

What I Didn't Understand at the Time

At the time, I believed our success lay in the quality of the methodology. We had developed a logical process that helped executives connect strategic priorities to business unit objectives, identify

cause-and-effect relationships, establish meaningful measures and build a clear line of sight between individual contribution and corporate success. The workshops were highly interactive, and by involving executives in the design process rather than presenting them with predetermined scorecards, we achieved a level of ownership that proved essential for implementation.

Looking back nearly a decade later, I have come to realise that the methodology itself was only part of the explanation. The workshops succeeded because they created something that was largely invisible. They enabled executives to develop a shared interpretation of the strategy before asking them to execute it.

This distinction is subtle but profound. Organisations often assume that once a strategy has been approved, alignment already exists. Yet agreement is not the same as shared understanding. Two executives can support exactly the same strategic objective while holding very different assumptions about what success looks like, which priorities deserve attention and what role they should personally play in achieving it. Those differences rarely become visible during the strategy workshop. They emerge during execution.

My doctoral research eventually provided the language to explain what I had observed years earlier. Before leaders commit to a strategy, they engage in a process of executive judgement. They ask themselves whether the proposed direction is the right one, whether they have a responsibility to champion it and whether they possess sufficient influence to make a meaningful contribution. These judgements occur long before a single KPI is written, yet they shape every decision that follows.

Seen from this perspective, cascading strategy is not primarily an exercise in translating objectives into measures. It is a process of creating shared executive judgement. Once leaders interpret the strategy through a common lens, the mechanics of cascading objectives, developing KPIs and aligning performance become significantly easier. Without that shared understanding, even the most carefully designed scorecards become administrative artefacts rather than instruments of strategic execution.

Taking an Executive Fix Before Cascading Strategy

Today, I would approach the engagement somewhat differently. The methodology would still include strategy maps, strategic themes, cause-and-effect relationships and performance measures. Those remain essential disciplines for translating strategy into execution. But before asking executives to cascade the strategy, I would first ask them to take what I now call an **Executive Fix**.

The phrase comes from my years as a naval officer, where a navigator never sets a course without first establishing the ship's position. Using a sextant, compass, charts and multiple bearings, the navigator determines where the vessel actually is before deciding where it should go. If the starting position is misunderstood, even the most carefully calculated course will gradually drift away from its intended destination.

I have come to believe that strategic execution requires the same discipline. Before leaders begin cascading objectives throughout an organisation, they need to establish a common point of reference. They need to understand not only the strategic direction, but also how they are interpreting that direction. Without this shared executive fix, every subsequent conversation about priorities, measures and accountability is built upon potentially different assumptions.

The Executive Sextant provides a simple way of establishing that common position. Rather than beginning with performance measures, it begins with three questions.

Is this strategy legitimate? Do I genuinely believe this is the right direction for the organisation? Does it align with our purpose, our values and the future we are trying to create?

What obligation does it create? What responsibilities does this strategy place upon me as a leader? Am I merely expected to implement it, or do I see myself as a steward of its success?

What agency do I possess? Do I believe I have the authority, capability and influence to make a meaningful contribution, or do I see execution as someone else's responsibility?

These questions may appear deceptively simple, yet they determine whether strategy becomes a living organisational commitment or simply another corporate document. Two executives may agree completely on the wording of a strategic objective while arriving at entirely different answers to these three questions. One sees an exciting opportunity to reshape the organisation. Another sees an additional reporting requirement. A third supports the strategy in principle but quietly doubts that they have sufficient influence to affect the outcome. The strategy is identical. The judgements are not.

Looking back at the banking engagement, I now realise that much of the workshop's success came from creating opportunities for executives to answer these questions together, even though we did not articulate them explicitly at the time. By working collectively through strategic themes, discussing cause-and-effect relationships and helping leaders establish their line of sight to corporate objectives, we were enabling a shared executive fix before asking them to cascade the strategy further into the organisation.

Changing the Way We Cascade Strategy

Viewing strategy through the lens of executive judgement fundamentally changes the way we think about strategic execution. Traditional approaches assume that strategy is something that cascades down an organisational hierarchy. Senior executives formulate the strategy, business unit leaders translate it into departmental objectives, managers assign responsibilities and performance measures, and employees execute their respective tasks. The process is often depicted as a logical flow from the Boardroom to the frontline.

In reality, strategy rarely travels in such a linear fashion.

Every level of the organisation interprets the strategy before passing it on. Leaders do not simply transmit strategic intent; they make sense of it. They decide what deserves attention, what requires

investment, which trade-offs are acceptable and what success should look like within their own sphere of responsibility. As strategy moves through the organisation, it is continually interpreted, refined and, at times, unintentionally distorted. The cascade is therefore not merely one of objectives and performance measures. It is a cascade of judgement.

This has important implications for how organisations approach strategy execution. Rather than asking, *"How do we cascade our strategic objectives?"*, executive teams should first ask, *"Have we developed a shared understanding of what this strategy requires of us as leaders?"* The quality of the cascade depends less on the sophistication of the performance management system than on the quality of the conversations that precede it.

This is why the workshops in Bahrain proved so valuable. They were never simply exercises in writing objectives or developing KPIs. They created a structured environment in which executives could challenge assumptions, debate priorities, explore cause-and-effect relationships and develop a common understanding of how the strategy would be realised. The performance measures emerged from those conversations; they did not drive them.

I have since seen this pattern repeated across organisations, industries and countries. Successful strategy execution is rarely the product of better scorecards or more sophisticated performance management systems. It emerges when leaders collectively develop a shared interpretation of the organisation's strategic intent before attempting to translate that intent into objectives, measures and action plans. When that shared understanding exists, the cascade becomes coherent and purposeful. When it does not, even the most carefully designed performance management system struggles to produce genuine alignment.

Strategy, then, is not simply cascaded through organisational structures. It is cascaded through the collective judgement of the leaders entrusted with bringing it to life.

Conclusion: Strategy Begins Before the Cascade

Looking back, I no longer believe the Bahrain engagement was primarily about cascading strategy. That was certainly the stated objective, and by the end of the project the bank had developed a coherent framework linking corporate objectives to business unit goals, departmental priorities and individual performance measures. The methodology worked, and the organisation was better equipped to execute its strategy. Yet that is not what I now remember most vividly. What I remember are the conversations that took place before a single performance measure was agreed.

Those conversations were about judgement.

They were about helping executives make sense of the organisation's strategic ambitions, understand the implications for their own areas of responsibility and develop confidence that they could make a meaningful contribution to the bank's future. Only after those conversations had taken place did the objectives, KPIs and scorecards begin to emerge with clarity and consistency. The technical outputs were important, but they were the consequence of alignment rather than its cause.

My doctoral research eventually gave me the theoretical language to explain why this happened. Every leader interprets strategy through a set of judgements about its legitimacy, the obligations it creates and their own capacity to influence its success. These judgements shape the decisions leaders make, the priorities they establish and the behaviours they encourage throughout the organisation. They also shape how strategy is understood by everyone who follows them.

This is why I believe strategy does not truly cascade through organisational structures. It cascades through executive judgement.

The role of leaders is therefore not simply to communicate strategy or allocate objectives. Their first responsibility is to cultivate a shared understanding of what the strategy means, why it matters and how it should influence the decisions made throughout the organisation. Only then can strategy be translated into coherent action.

Today, whenever I work with executive teams, I encourage them to resist the temptation to begin with organisational charts, scorecards or performance measures. Instead, I ask them to establish a shared executive position fix. Like a navigator preparing to cross an ocean, they must first determine where they stand before deciding how to proceed. Once leaders share the same bearings, the course becomes clearer, decisions become more consistent and execution becomes more purposeful.

The scorecard still matters. KPIs still matter. Performance management still matters.

But they are not the beginning of the journey.

The journey begins when leaders see the strategy through the same lens.

Before strategy can cascade through an organisation, it must first cascade through the minds of its leaders.